

The Board of Directors of NIC Bank Limited is pleased to announce the Audited financial results of the Group and Bank for the year ended 31st December 2016

STATEMENT OF FINANCIAL POSITION	GROUP		BANK	
	31st Dec, 2016 Audited Shs '000	31st Dec, 2015 Audited Shs '000	31st Dec, 2016 Audited Shs '000	31st Dec, 2015 Audited Shs '000
ASSETS				
Cash (both Local & Foreign)	1,919,377	1,662,734	1,585,835	1,290,137
Balances due from Central Banks	5,344,124	7,277,322	4,360,474	6,001,492
Kenyan Government securities held for dealing purposes	-	-	-	-
Financial assets at fair value through profit & loss	227,600	78,929	-	-
Investment Securities:				
a) Held to Maturity:				
a. Kenya Government securities	3,491,163	5,309,953	3,491,163	5,309,953
b. Other securities	2,273,216	2,158,244	-	-
b) Available for sale:				
a. Kenya Government securities	23,795,496	19,703,042	23,795,496	19,703,042
b. Other securities	911,020	661,739	-	-
Deposits and balances due from local banking institutions	1,456,867	996,948	1,163,270	188,670
Deposits and balances due from banking institutions abroad	8,225,341	5,678,692	8,055,566	5,275,450
Tax recoverable	137,003	112,729	-	-
Loans and advances to customers (net)	114,466,274	116,009,302	107,097,133	107,867,710
Balances due from banking institutions in the group	-	-	1,375,189	2,409,572
Investments in associates	-	-	-	-
Investments in subsidiary companies	-	-	5,357,701	4,357,701
Investments in joint ventures	-	-	-	-
Investment properties	-	-	-	-
Property and equipment	1,043,497	1,063,760	861,294	809,600
Prepaid lease rentals	522,875	523,000	6,875	7,000
Intangible assets	1,071,441	991,513	605,547	511,896
Deferred tax asset	2,752,871	1,352,550	2,545,664	1,167,586
Retirement benefit asset	-	-	-	-
Other assets	1,820,820	2,207,811	1,546,144	1,862,416
TOTAL ASSETS	169,458,985	165,788,268	161,847,351	156,762,225
LIABILITIES				
Balances due to Central Banks	-	-	-	-
Customer deposits	111,824,685	112,364,637	104,160,200	105,194,000
Deposits and balances due to local banking institutions	801,581	3,725,753	72,764	2,991,350
Deposits and balances due to foreign banking institutions	1,974,345	5,338,799	2,554,801	4,743,263
Other money market deposits	-	-	-	-
Borrowed funds	19,965,484	15,356,190	18,976,920	14,131,007
Balances due to banking institutions in the group	-	-	50,807	337,431
Tax payable	455,649	148,480	446,766	138,567
Dividends payable	35,599	52,471	35,599	52,471
Deferred tax liability	-	-	-	-
Retirement benefit liability	-	-	-	-
Other liabilities	4,056,278	2,455,796	5,261,231	2,719,750
TOTAL LIABILITIES	139,113,621	139,442,126	131,559,088	130,307,839
EQUITY				
Paid up /Assigned capital	3,199,728	3,199,728	3,199,728	3,199,728
Share premium	2,700,017	2,700,017	2,700,017	2,700,017
Revaluation reserves	175,202	179,983	175,202	179,983
Retained earnings	23,012,504	19,421,923	22,686,358	19,363,526
Statutory loan reserves	1,238,486	1,314,333	961,793	937,629
Other reserves	(1,126,374)	(1,595,132)	(74,781)	(566,443)
Proposed dividends	639,946	639,946	639,946	639,946
Capital grants	-	-	-	-
TOTAL EQUITY	29,839,509	25,860,798	30,288,263	26,454,386
TOTAL LIABILITIES AND EQUITY	169,458,985	165,788,268	161,847,351	156,762,225
Non-controlling interests	505,855	485,344	-	-
TOTAL EQUITY	30,345,364	26,346,142	30,288,263	26,454,386
TOTAL LIABILITIES AND EQUITY	169,458,985	165,788,268	161,847,351	156,762,225

STATEMENT OF COMPREHENSIVE INCOME				
INTEREST INCOME				
Loans and advances	15,150,632	13,958,009	14,212,910	12,907,925
Government securities	3,735,870	2,721,959	3,214,229	2,339,852
Deposits and placements with banking institutions	134,173	334,164	82,388	261,460
Other Interest Income	-	-	-	-
TOTAL INTEREST INCOME	19,020,675	17,014,132	17,509,527	15,509,237
INTEREST EXPENSE				
Customer deposits	5,368,231	5,836,296	4,986,572	5,406,341
Deposits and placement from banking institutions	246,731	238,465	195,890	170,924
Other interest expenses	1,237,116	1,196,838	1,147,440	1,083,900
TOTAL INTEREST EXPENSE	6,852,078	7,271,599	6,329,902	6,661,165
NET INTEREST INCOME	12,168,597	9,742,533	11,179,625	8,848,072
OTHER OPERATING INCOME				
Fees and commissions on loans and advances	1,215,324	1,202,807	1,117,156	1,116,683
Other fees and commissions	795,027	641,622	710,909	554,093
Foreign exchange trading income	1,105,147	1,431,231	1,030,462	1,257,433
Dividend Income	-	-	-	-
Other income	904,061	756,500	634,389	490,621
TOTAL NON-INTEREST INCOME	4,019,559	4,032,160	3,492,916	3,418,830
TOTAL OPERATING INCOME	16,188,156	13,774,693	14,672,541	12,266,902
OPERATING EXPENSES				
Loan loss provision	3,749,530	1,652,475	3,711,702	1,539,452
Staff costs	3,222,493	2,816,867	2,611,360	2,298,037
Directors' emoluments	174,638	247,042	153,065	168,119
Rental charges	370,057	338,681	221,239	189,908
Depreciation charge on property and equipment	277,906	276,977	191,673	199,458
Amortisation charges	221,937	215,478	191,670	183,066
Other operating expenses	2,004,646	1,829,898	1,666,322	1,429,206
TOTAL OPERATING EXPENSES	10,021,207	7,377,418	8,747,031	6,007,246
Profit before tax and exceptional items	6,166,949	6,397,275	5,925,510	6,259,656
Exceptional items	-	-	-	-
PROFIT AFTER EXCEPTIONAL ITEMS	6,166,949	6,397,275	5,925,510	6,259,656
Current tax	(3,226,335)	(2,388,860)	(3,161,441)	(2,331,269)
Deferred tax	1,389,782	476,710	1,378,078	462,936
PROFIT AFTER TAX AND EXCEPTIONAL ITEMS	4,330,396	4,485,125	4,142,147	4,391,323
Other Comprehensive Income:				
a. Exchange differences on translation of foreign operations	50,300	(316,478)	-	-
b. Fair value changes in available-for-sale financial assets	418,458	(342,050)	491,662	(363,786)
c. Revaluation surplus on property, plant and equipment	-	-	-	-
d. Share of comprehensive income of associates	-	-	-	-
e. Income tax relating to components of other comprehensive income	-	-	-	-
OTHER COMPREHENSIVE INCOME FOR THE YEAR NET OF TAX	468,758	(658,528)	491,662	(363,786)
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	4,799,154	3,826,597	4,633,809	4,027,537
EARNINGS PER SHARE- BASIC & DILUTED	6.77	7.00	6.47	6.86
INTERIM DIVIDEND PER SHARE - PAID	0.25	0.25	0.25	0.25
FINAL DIVIDEND PER SHARE - PROPOSED	1.00	1.00	1.00	1.00

OTHER DISCLOSURES	GROUP		BANK	
	31st Dec, 2016 Audited Shs '000	31st Dec, 2015 Audited Shs '000	31st Dec, 2016 Audited Shs '000	31st Dec, 2015 Audited Shs '000
1.NON-PERFORMING LOANS AND ADVANCES				
(a) Gross Non-performing loans and advances	13,587,912	14,351,893	12,650,315	13,194,946
(b) Less interest in suspense	704,080	1,123,359	683,839	1,029,881
(c)TOTAL NON-PERFORMING LOANS AND ADVANCES (a-b)	12,883,832	13,228,534	11,966,476	12,165,065
(d) Less loan loss provision	5,022,089	2,776,627	4,728,028	2,388,738
(e) NET NON-PERFORMING LOANS AND ADVANCES (c-d)	7,861,743	10,451,907	7,238,448	9,776,327
(f) Discounted value of securities	7,861,743	10,451,907	7,238,448	9,776,327
(g) NET NPLS EXPOSURE (e-f)	-	-	-	-
2.INSIDER LOANS AND ADVANCES				
(a) Directors, shareholders and Associates	600,169	752,748	498,100	713,365
(b) Employees	1,958,897	1,303,042	1,932,600	1,273,710
(c)TOTAL INSIDER LOANS AND ADVANCES	2,559,066	2,055,790	2,430,700	1,987,075
3.OFF-BALANCE SHEET ITEMS				
(a) Letters of credit,guarantees, acceptances	16,595,287	14,087,329	16,401,719	13,819,894
(b) Forwards, swaps and options	14,043,849	21,346,126	14,043,849	21,346,126
(c) Other contingent liabilities	1,068,674	821,955	-	-
(d)TOTAL CONTINGENT LIABILITIES	31,707,810	36,255,410	30,445,568	35,166,020
4.CAPITAL STRENGTHH				
(a) Core capital	28,942,838	23,427,721	25,379,908	21,529,429
(b) Minimum statutory capital	1,000,000	1,000,000	1,000,000	1,000,000
(c) Excess (a-b)	27,942,838	22,427,721	24,379,908	20,529,429
(d) Supplementary capital	6,780,221	8,898,701	6,503,528	8,827,078
(e) TOTAL CAPITAL (a+d)	35,723,059	32,326,422	31,883,436	30,356,507
(f)TOTAL RISK WEIGHTED ASSETS	155,044,871	157,017,833	147,419,229	148,255,517
(g) Core capital / Total deposits liabilities	25.88%	20.85%	24.36%	20.47%
(h) Minimum statutory ratio	8.00%	8.00%	8.00%	8.00%
(i) Excess (g-h)	17.88%	12.85%	16.36%	12.47%
(j) Core capital / Total risk weighted assets	18.67%	14.92%	17.22%	14.52%
(k) Minimum statutory ratio	10.50%	10.50%	10.50%	10.50%
(l) Excess (j-k)	8.17%	4.42%	6.72%	4.02%
(m) Total capital / Total risk weighted assets	23.04%	20.59%	21.63%	20.48%
(n) Minimum statutory ratio	14.50%	14.50%	14.50%	14.50%
(o) Excess (m-n)	8.54%	6.09%	7.13%	5.98%
5. LIQUIDITY				
(a) Liquidity ratio	38.74%	29.22%	38.52%	29.80%
(b) Minimum statutory ratio	20.00%	20.00%	20.00%	20.00%
(c) Excess (a-b)	18.74%	9.22%	18.52%	9.80%

MESSAGE FROM THE DIRECTORS

An interim dividend of Shs 0.25 per share was paid on 17th October 2016.The Directors recommend payment of a final dividend of Shs 1.00 per share (2015: Final dividend of Shs 1.00 per share).The dividend payment is subject to approval of the shareholders at the Annual General Meeting to be notified in due course and will be payable to shareholders registered on the company's register at the close of business on 6th April 2017.The register of members will remain closed for one day on 7th April 2016.

The Statement of Financial Position and Statement of Comprehensive Income are extracts from the Bank's financial statements as audited by PricewaterhouseCoopers and have received an unqualified opinion.

A full set of these financial statements will be available from our Registrars and Transfer Office, Custody & Registrar Services Limited, Bruce House, Nairobi, and online at www.nic-bank.com after approval by members at the Annual General Meeting.

The financial statements were approved and authorized for issue by the Board of Directors on 8th March 2017 and were signed on its behalf by:

J P M Ndegwa	J Gachora
Chairman	Group Managing Director
F N Mwanzia	L Murage
Director	Group Company Secretary



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